West Virginia, were scheduled to go on stream. Unexpected troubles, characteristic of the chemical industry but from which this company had been surprisingly free in most of its other modernization and expansion programs, indi-cate that it will be the first quarter of 1958 before this earning spurt will now occur.

“I suspect that until this earning betterment comes and chemical profit margins grow and continue to broaden for a period of time, the institutional buyer will generally fail to look beneath the surface and will largely stay away from this stock. If, as I suspect will happen, such a development manifests itself in 1958 and 1959, financial sentiment some time in that period will come around to recognizing the basic improvement in fundamentals that started several years before. At that time the stock, which may then continue to grow for years, will be selling at a price that has advanced partly because of the improvement in per-share earnings that had already occurred but even more because of the changed price-earnings ratio that results from a general reappraisal of the company's intrinsic quality.”

I believe the record of the past two years emphatically validates these comments. Possibly the first general recognition of what had been happening beneath the surface came when in the depression-like year of 1958, a year when nearly all chemical and machinery companies showed a decided drop in earning power, Food Machinery reported profits at an all-time peak of $2.39 per share. This was moderately above the levels of the several preceding years when the general economy was at higher levels. It was a tip-off that the chemical divisions were at last being brought to a point where they could take their place along with the machinery end of the business as a highly desirable and not a mar-ginal investment. While 1959 profits are not yet available as these words are written, the sharp gains in earning power reported for the first nine months over the corresponding period of 1958 give further assurance that the long period of reorganizing the chemical divisions is bearing rich fruit. The 1959 gains are perhaps particularly significant in that this is the year in which the ordnance division is in transition from its for-mer principal product of an armored personnel and light equipment amphibious tank-like carrier made of steel, to an aluminum one that can be dropped from the air by parachute. This means that 1959 was the one year in the recent past or foreseeable future in which